

Negotiation, leveling, multi-offer dynamics

Week 9, Lecture 2 · Landing the Offer: SWE Job Search for Senior CS Students

Autumn 2026

What we will cover

- Total compensation: base, bonus, equity, signing, and how to compute a number you can compare
- Leveling: what L3/L4/E3/E4 mean and why level matters more than starting salary
- Equity vesting schedules: the 4-year cliff, front-loading, and year-1 expected value
- Competing offers: raising your BATNA without poisoning the relationship
- The "best offer" pushback: what it means and how to respond
- Exploding offers: how to buy time without burning the bridge

Part 1: total compensation and leveling

Total compensation has four components

1. **Base salary:** the fixed annual number; the easiest to compare across companies
2. **Annual bonus:** typically a percentage of base, often 10-20% at big tech; varies by company and performance rating
3. **Equity (RSUs):** restricted stock units vesting over time; the number that varies most between offers
4. **Signing bonus:** a one-time payment at hire; not ongoing; easier for companies to give than a base raise

The number a recruiter leads with is almost always base salary alone. That is intentional: it is the most favorable-looking component for companies with strong equity packages.

Levels.fyi (Shibly, 2025): "Compensation structure: base salary, annual bonus, equity/RSUs, signing bonus."

Why level matters more than your starting number

- Companies publish salary bands by level: L3 at Company A might be \$130k-\$160k; L4 might be \$155k-\$200k
- An L3 offer at \$155k is near the top of its band; promotion to L4 typically starts at or near the L4 floor
- An L4 offer at \$155k has room to grow within the band; each subsequent raise starts from a higher baseline
- The difference compounds over 3-5 years: entering at the wrong level can cost more than the initial negotiation win

Shibly (Levels.fyi, 2025): level affects not just the current offer but your trajectory for the first several years of your career.

Pushing for a higher level

How to make the case:

- Ask explicitly during the offer call: "Based on my experience with [specific project], is there room to discuss whether this role could be leveled at L4?"
- Back the request with evidence: a shipped project, a system you owned end-to-end, or measurable scope beyond typical new-grad work
- If they say L3 is the standard for all new grads, ask about accelerated promotion timelines and what the criteria are

The worst outcome is they say no and you get the same offer. The ask costs nothing.

Part 2: equity and signing mechanics

The 4-year vest with a 1-year cliff

A standard RSU grant vests over 4 years with a 1-year cliff. This means:

```
Grant: 100 RSUs, current price $40/share  
Year 1: 0 shares vest until the cliff date, then 25 shares vest (cliff)  
Year 2: 25 shares vest (monthly or quarterly tranche)  
Year 3: 25 shares vest  
Year 4: 25 shares vest
```

If you leave before the one-year mark, you receive no equity. This is the cliff.

Some companies (Meta, Google at some levels) front-load the grant: more shares vest in years 3 and 4 as a retention mechanism.

Computing year-1 expected comp

Example offer:

```
Base salary:           $145,000
Annual bonus:          10% target = $14,500 expected
RSU grant:             100 units, $40/share
Vesting schedule:      4-year, 1-year cliff
Shares vesting Y1:      25 (at cliff date, assuming 12-month tenure)
RSU value Y1:          25 x $40 = $1,000
Signing bonus:         $20,000 (one-time, year 1 only)

Year-1 total:          $145,000 + $14,500 + $1,000 + $20,000 = $180,500
4-year total:          ($145,000 x 4) + ($14,500 x 4) + (100 x $40) + $20,000
                        = $580,000 + $58,000 + $4,000 + $20,000 = $662,000
```

Assumptions: bonus paid at target, stock price flat, no additional grants.

Signing bonuses: easier to give than base

Why recruiters can often increase a signing bonus when they cannot move base:

- Base salary affects budget models for every future year; a signing bonus is a one-time accounting event
- Signing bonuses do not create equity-grade precedent across the hiring cohort
- Most new-grad signing bonuses are clawback-eligible for 12-24 months; the company limits its downside

When to ask for a signing bonus:

- When you are leaving unvested equity at a prior company (rare for new grads but possible after an internship)
- When the base offer is below a competing offer and moving base is blocked
- As a first ask when you want to avoid opening with a base-salary counter

Qureshi (2016, Part 2): signing bonuses are often the path of least resistance.

Part 3: negotiation tactics

Competing offers: the BATNA conversation

BATNA: best alternative to a negotiated agreement. Your competing offer is your BATNA.

How to raise it:

- Do not reveal the competing number first unless you are prepared for them to match exactly and stop
- Lead with enthusiasm for this company: "I am genuinely excited about this role. I want to be transparent that I have another offer I am considering, and I would love to find a way to make this work."
- Let the recruiter ask for the number; then share a range or a specific figure

McKenzie (2012): never anchor by going first. The company that names a number first has anchored the conversation.

The "best offer" pushback

What it actually means:

- "Best offer" is a negotiating position, not a fact
- Recruiters have flex that exists at multiple levels: their own, their manager's, the hiring manager's, and HR's; not all of them have been consulted
- McKenzie (2012): "Negotiating never makes worthwhile offers worse."

How to respond:

"I appreciate that, and I really do want to join. Is there any flexibility at all on the equity component, or on the signing bonus? I want to find a way to make this work without putting you in a difficult spot."

The key moves: acknowledge, reaffirm enthusiasm, ask one specific narrow question.

Exploding offers: buying time

An exploding offer is one with an artificially short deadline designed to prevent you from comparing alternatives.

Qureshi (2016, Part 2): a reasonable company will give you time to make an informed decision. Applying pressure you cannot meet is a signal about how the company treats employees.

Script for asking for an extension:

"Thank you for the offer. I am genuinely excited. I want to be transparent: I have another process that is about a week from completing, and I would like to make a fully informed decision rather than rush. Is it possible to extend the deadline to [specific date]? I want to give you a definitive answer, not a provisional one."

Negotiating never makes worthwhile offers worse. This means you need what political scientists call a commitment strategy: you always, as a matter of policy, negotiate all offers.

<footer>Patrick McKenzie (patio11), Salary Negotiation: Make More Money, Be More Valued, 2012</footer>

Take-aways

1. Total compensation has four components. The number a recruiter leads with is base salary only; compute the full year-1 number before making comparisons.
2. Level matters more than starting salary. Entering at a higher level compounds over the first several years; it is worth one explicit ask.
3. Signing bonuses are easier to give than base. They are a good first move when base is stuck.
4. When a recruiter says "this is our best offer," acknowledge it, reaffirm enthusiasm, and ask one narrow specific question about a single component.
5. Negotiate as a policy, not a case-by-case judgment. McKenzie (2012): a commitment to always negotiate removes the hesitation from your voice.

What's next

- **Section (this week):** live pipeline triage with peer review, then negotiation role-play in pairs; swap sides after 15 minutes
- **HW 5 (due this week):** STAR story bank; twelve stories covering the leadership principles from week 7
- **Week 10:** capstone application sprint, mock loop, and one unconventional move; see the Capstone assignment for the full scope